

Report on Declined Exemption Application – Mr Nkwane

To Whom It May Concern

1. Purpose of the Report

This report is intended to clarify the criteria and processes followed by the Exemption Committee at Midrand Primary School when considering applications for exemption, as well as to explain the reasons why Mr Nkwane's exemption application was not approved for the 2025 financial year.

2. Background

Mr Nkwane first applied for exemption in 2019. During the background verification process, it was established that he was associated with **six companies that were registered and remained active**.

The family was requested to provide supporting documentation demonstrating that these companies were not generating any income. The Committee advised that acceptable supporting evidence would include either:

- Company bank statements demonstrating that the companies were not generating income; or
- An **ITA34 C from SARS** confirming the **0** income for that particular year.or
- Audited financial statements of the same year.

At the time, the family indicated that the companies were active but were not generating income and that they were unable to provide the requested documentation due to unresolved matters with SARS.

3. Previous Exemption Decisions

In 2019, the Committee granted the exemption on the condition that the outstanding SARS matters would be resolved and that the required supporting documentation would be provided with future applications.

However, when the Nkwane family applied again in 2020, the same documentation could not be provided. Given the exceptional circumstances surrounding the COVID-19 pandemic and the restrictions on movement and access to government services at the time, the Committee granted the exemption again.

For the 2021, 2022, 2023 and 2024 applications, the Committee continued to identify the same outstanding issue: the required documentation confirming the financial status of the companies was not submitted. As a result, the applications were declined on the basis that the required supporting evidence and processes had not been satisfied.

4. Decision for the 2025 Financial Year

In 2025, the Exemption Committee considered the matter again. On this occasion, the Committee did not approve the exemption.

The decision was based on the fact that, despite the issue having been raised since 2019 and the family having been given several opportunities to resolve the outstanding SARS-related matters, the required supporting documentation had still not been provided.

Furthermore, the Committee was not satisfied that sufficient steps had been taken to resolve the SARS matters or to substantiate the claim that the companies were not generating income.

The Committee also noted that the companies in question continued to be renewed and maintained as active entities on an annual basis. However, no satisfactory explanation or supporting evidence was provided to demonstrate why these companies continued to be maintained as active entities if, as stated, they were not generating any income.

5. Audit Verification

It is important to note that Mr Nkwane's 2025 exemption application was subsequently selected as part of the sample reviewed by the auditors during the 2025 financial-year audit.

The auditors independently reviewed the application and validated the basis on which the Committee had declined the exemption. Their review confirmed that the required processes and supporting documentation had not been fully complied with.

This audit verification provides further support for the Committee's decision and confirms that the exemption was declined based on the applicable requirements and the information available to the Committee at the time of assessment.

6. Current Position

As of the date of this report, documentation indicates that **three of the companies remain active**. The latest available evidence regarding these companies is attached to this report for reference.

The continued existence of active companies, together with the absence of the required financial and SARS documentation, remains relevant to the assessment of the exemption application. We received some applications for exemptions from parents with the same issue of not generating income, but they submitted the same document we asked the Nkwane family for, which unfortunately was never submitted.

7. Conclusion

The decision not to grant Mr Nkwane an exemption for the 2025 financial year was not based on a single occurrence. It followed a matter that had been outstanding since his initial application in 2019.

The Committee provided repeated opportunities for the required SARS and financial documentation to be submitted and for the outstanding matters to be resolved. Despite these opportunities, the required evidence was not provided, and the Committee was not sufficiently satisfied that the necessary processes had been followed or that the circumstances surrounding the active companies had been adequately substantiated.

The subsequent audit review of the 2025 application further confirmed that the required processes and supporting documentation had not been fully met.

The Committee therefore maintains that the decision to decline the 2025 exemption application was made in accordance with the applicable exemption requirements and based on the information and supporting documentation available at the time.

Please do not hesitate to contact the school should you need further clarity.

M Mulaudzi

Principal

Midrand primary school

Date:14/08/2026

2025/03/20	DANIEL HOPE NKWANE
2025/03/20	HOPE NDLOVU
2023/04/16	DANIEL HOPE NDLOVU
2023/04/16	GCINILE RIRHANDZU MABUNDA
2023/04/16	NDLOVU DANIEL
2023/04/16	NDLOVU DANIEL HOPE
2023/04/16	JR MABUNDA
2023/04/16	NDLOVU H
2023/04/16	DH NDLOVU

Credit summary

This is a list of the data categories recording the number of listings (ie number of accounts, defaults, monthly payment profiles)

Companies 3

Associated companies

This is a list of which companies the consumer is a member or director (active or resigned status)

The consumer is an **ACTIVE** director of 3 companies

2012/214006/07 -	NTSHOVI BUSINESS SOLUTIONS	In Business
Director, Appointed: 2012/11/30, Status: Active		
2013/004434/24 -	RIHANYO AGRICULTURAL PRIMARY CO-OPERATIVE LIMITED	In Business
Director, Appointed: 2013/03/12, Status: Active		
2018/427706/07 -	RHANDZEKANI	In Business
Director, Appointed: 2018/08/07, Status: Active		

The consumer is **NOT AN ACTIVE** director of 1 companies

2014/146349/07 -	FOREVER BEAT MEDIA	AR Final Deregistration
Director, Appointed: 2016/04/18, Status: Active		